STATEMENT OF ADVICE

Financial Planning Strategy

Prepared for:

Michael Morrison and Jeremy Brook

Of

105 Clark Street
PORT MELBOURNE VIC 3207

Prepared on:

1st July 2020

By your Adviser:

Andrew Lord *B Bus (Acc), Dip FS (Fin Plan)*

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What this document is about

This Statement of Advice (or SoA) is an important document.

- It provides you with information about our advice so you can make a decision about implementing the advice.
- It should be read in conjunction with other documents such as Product Disclosure Statements and our Financial Services Guide.

What to do after reading this Statement of Advice

Please contact us.

- If you have any questions.
- If we have omitted, overlooked or incorrectly understood any of your relevant circumstances.
- When you are ready to implement the recommendations.
- Or, if you decide you want to do something else and need our advice or assistance.

1/07/2020

Michael Morrison and Jeremy Brook
105 Clark Street
Port Melbourne VIC 3207

Dear Michael and Jeremy,

I am pleased to enclose your Statement of Advice (SoA).

It is an important document that you should read and understand before making a decision to proceed further.

We have based the strategies and recommendations in this document on our understanding of your current personal and financial position. If any of this information does not reflect any part of your current position, goals and objectives please advise us immediately and we will make the necessary changes.

The SoA sets out our recommended strategies to address your needs, together with a recommended course of action to implement these strategies.

When you are ready to proceed, we would be very happy to help you with the implementation of the advice, including the completion and lodgement of application forms and other documents.

Please note, our recommendations in this Statement of Advice are valid for 30 days from the date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation again before you take any action.

Once implemented, we should review your situation on a regular basis to ensure we make the most of any changes that may impact on the strategies I have recommended for you.

Yours sincerely,

Andrew Lord
B Bus (Acc), Dip FS (Fin Plan)
Authorised Representative No 324798 of
Pareto Group Pty Ltd

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Purpose of this document

The following Statement of Advice (SoA) is an outline of the financial plan discussed with your financial planner. It details the recommendations needed to execute your plan and achieve your financial objectives.

Timeframe for our advice

Our recommendations in this SoA are valid for 30 days from the preparation date on the cover of this document. If your circumstances change before you implement our recommendations, or if you don't act on them within 30 days, they may no longer be appropriate for you. If that happens, please ask us to review your situation before taking any action.

Check for accuracy

This SoA is based on the information you provided. Please read the document carefully, checking that your details are correct and that no important facts are missing. If anything is wrong or missing, please let us know immediately—otherwise our advice may be based on incorrect information and may not be right for you.

Limitations of our advice

We cannot give advice on:

- Trust or business structures
- Taxation
- General insurance
- Direct share or property purchases
- Legal matters

Please don't consider any of this document's recommendations to be advice in any of these areas. If you need advice in these areas, please see a qualified professional in that field.

Assumptions we've made

When giving advice, we make certain assumptions to demonstrate how the advice could affect your financial situation. We've based our advice on economic information and legislation that was current when we prepared your SoA.

All dollar amounts in this SoA are in today's dollars, even when we mention future income, expenses, investment amounts and so on. Naturally we can't predict what future inflation rates will be, so we can only make assumptions based on past trends. Also, all amounts listed in this document are "p.a." (per annum) unless otherwise stated or implied.

Product selection

We are committed to giving you the best products for your situation. When preparing your advice, we considered and recommended only those products on Pareto Group's "Approved Product List". This list was compiled by a dedicated Investment Review Committee, which regularly reviews it. To see the complete product list, please ask us.

Introduction

You are entitled to receive a Statement of Advice (SoA) whenever we provide you with any personal financial advice. Personal financial advice is advice that takes into account any one or more of your objectives, financial situation and needs.

This SoA is a record of the personal financial advice provided to you and includes information on the basis on which this advice is given, information about remuneration including fees, any other benefits and any interests, relationships or associations which might influence the making of the advice.

If this advice includes a recommendation to you to acquire a particular financial product (other than securities) or an offer to issue or arrange the issue of a financial product to you, we will also provide you with a Product Disclosure Statement containing information about the particular product to help you make an informed decision about that product.

The Scope of Our Advice

In this statement of advice, the main focus is on:

- Property / Debt Structure
- Structure and ownership of current and future investments
- Investment planning and associated cash flow
- Superannuation structure
- Superannuation contribution strategies
- Retirement planning
- Personal Insurances

This advice is based on information we have obtained from you. You must ensure the information is accurate and complete. Otherwise, this advice may be based on inaccurate or incomplete information relating to your investment objectives, financial situation or needs. You must therefore assess whether the advice is appropriate, in the light of your own individual investment objectives, financial situation or needs.

You recognise in each of the areas of advice we provide, we only provide advice to the extent we are able to under the relevant legislation.

Our Investment Recommendations

In respect of the specific investments we recommend as part of our advice you are entitled to a 14-day cooling off period for your initial investment. A cooling off period generally means a period of time after which you have provided your capital for investment, where you can change your mind and request for your capital to be returned to you.

Each fund manager or investment provider may implement the cooling off period in a slightly different manner. Therefore, we recommend you refer to the Product Disclosure Statement for each of the recommended investments in order to understand the operation of each provider's cooling off period.

Your Adviser

At any time should you have any questions or concerns, in the first instance please contact your adviser Andrew Lord on (03) 9596 5111.

Andrew Lord is authorised to represent Pareto Group Pty Ltd. Should you wish to discuss matters of concern about your adviser or the advice you have received please contact us on 03 9596 5111.

The Planning Process

Michael and Jeremy, *Financial Planning* is a process to help you reach both your Personal and Financial Goals and Objectives. In order to achieve this, we jointly need to undertake a number of tasks, including:

- ✓ Confirm your personal goals and lifestyle objectives;
- ✓ Quantify the resources required to meet your goals and objectives;
- ✓ Identify any gaps in your current plans and your stated goals and objectives;
- ✓ Develop suitable strategies to address any differences that may exist bearing in mind your attitude to investing and your risk profile;
- ✓ Conduct a regular review of the strategies we put into effect to ensure they keep pace with your changing needs, legislative changes and the investment environment.

Executive Summary

In this plan our advice considers the following areas of your financial circumstances.

Your Goals and Objectives

After our discussions I have listed below what we agreed were your key goals and objectives. The points listed below form the basis of the plan I have prepared, and therefore you should read them carefully now to ensure that we have an accurate foundation on which to proceed. If there are any modifications required, please advise us prior to the commencement of your financial plan.

Your goals and objectives are to:

- Review the feasibility of maintaining your current investment property and associated debt structure.
- Assess future investment options.
- Place your future assets under the most tax effective ownership structure.
- Review your superannuation portfolio and determine appropriate strategies moving forward.
- Explore ways in which to maximise your retirement nest egg and put a plan in place to assist in your retirement planning.
- Determine your projected retirement capital over various timeframes.
- Ensure you have sufficient personal insurances and have these structured in the most efficient manner.

Personal Information

During our discussions and from the information you have provided, your Personal Details can be summarised as follows:

Personal Details

Title	Mr	Mr
First Name	Michael	Jeremy
Surname	Morrison	Brook
Gender	M	M
Date of Birth	14/01/1979	3/10/1979
Age Last Birthday	41	40
Marital Status	Married	Married

Employment Details

Employment Status	Full Time	Full Time
Occupation	Cabin Standards Manager	Innovation Product Owner
Employer	Jetstar Airways	AGL Energy

Estate Planning

	Michael	Jeremy
Do you have a Current Will?	Yes	Yes
Do you have Current Powers of Attorney?	Yes	Yes
Do you have a Testamentary Trust?	No	No

Current Assets and Liabilities

The following is an Asset and Liabilities summary that estimates your current Net Worth position based on the information provided.

ASSETS

Lifestyle Assets	Value
Residential Property – Port Melbourne	$1,700,000
Motor Vehicles	$50,000
Total Lifestyle Assets	**$1,750,000**

Investment Assets	Value
Investment Property – Sydney	$1,000,000
Share Portfolio	$4,000
Hansard Europe Retirement Programme (surrender value = €41,314)	$67,558
Cash in offset account	$70,000
Total Investment Assets	**$1,141,558**

Superannuation Assets	
Michael	
Qantas Super	$38,088
Fidelity (UK fund valued at approximately £25,000)	$45,292
Jeremy	
MLC Masterkey Super	$69,984
Aegon (Dutch fund valued at approximately €114,000)	$186,394
Total Superannuation Assets	**$339,758**

Total ASSETS	**$3,231,316**

LIABILITIES

Residential Property Loans:	
Variable loan (secured by Port Melbourne property)	$95,000
3.19% p.a. Fixed Loan 1 (secured by Port Melbourne property)	$875,000
3.19 % p.a. Fixed Loan 2 (secured by Sydney property)	$430,000
	$1,400,000
Investment Property Loan:	
3.19% p.a. Fixed Loan (secured by Sydney property)	$290,000
Car Loan	$30,000
Total Liabilities	**$1,720,000**

NET WORTH	**$1,511,316**

Notes: As the above information has been used in preparing our recommendations please advise us of any errors or omissions. The 'Total' column indicates the value of assets and liabilities which are owned by you. This report does not show the value of any portion of the asset or liability that may be owned by a third party or associated entity.

Your Investor Risk Profile

The following section of your plan helps to ensure that I clearly understand your attitude to investment selection. Additionally, investments contain various characteristics, which may or may not suit each individual investor.

Based upon your responses to the Risk Profile Questionnaire, it was determined that **Michael** has a **Growth** investor risk profile, whilst **Jeremy** has a **Balanced** investor risk profile in regard to investments inside and outside superannuation.

Typically, a **Growth** investor has the following characteristics:

- A Growth investor places greater emphasis on capital appreciation with current income and asset preservation being of a secondary concern.
- This requires an investments time horizon of between 5 – 7 years.
- Their portfolio would typically comprise an overweight holding in shares and property with a small exposure to income bearing securities such as cash and fixed interest.

A **Growth** investor will typically diversify their investment in the following manner:

Australian Shares	43%
International Shares	25%
Fixed Interest	13%
Property	17%
Cash	2%

Typically, a **Balanced** investor has the following characteristics:

- The Balanced investor will typically operate a portfolio evenly split between interest bearing securities and growth-oriented investments.
- An exposure to a range of investment sectors including cash, fixed interest, property and shares ensures the portfolio is "truly" balanced.
- Investors are typically comfortable with a variability of their capital over a 5-year horizon while their portfolio builds a growing income stream and capital growth.

A **Balanced** investor will typically diversify their investment in the following manner:

Australian Shares	34%
International Shares	20%
Fixed Interest	26%
Property	14%
Cash	6%

Our research indicates that long term returns will be best achieved through a diversified portfolio covering all major asset classes (i.e. Cash, Fixed Interest, Shares and Property). By covering all primary investment markets the risks and volatility of your investments can be managed to levels consistent with your investment profile, whilst maintaining the potential for long term growth. Any recommendation will be based on your risk tolerance, while in balance with your goals and objectives.

Strategy Recommendation

Tax Rates

When assessing the most tax effective environment for your investment assets, we need to consider the tax that would be payable on any income that these investments will generate. The current tax rates are as follows:

Income Earned in your personal name

Tax rates 2020-21

Taxable income	*Tax on this income*
$1 – $18,200	Nil
$18,201 – $37,000	19c for each $1 over $18,200
$37,001 – $90,000	$3,572 plus 32.5c for each $1 over $37,000
$90,001 – $180,000	$20,797 plus 37c for each $1 over $90,000
$180,001 and over	$54,097 plus 45c for each $1 over $180,000

* The above rates **do not** include the Medicare levy of 2.0%.

Income Earned in the superannuation environment

Superannuation in 'accumulation' phase - Tax rate = 15%

Superannuation in 'pre-retirement pension' phase - Tax rate = 15%

Superannuation in 'allocated pension' phase - Tax rate = 0%

Tax on superannuation earnings, contributions and income streams

	Non-superannuation	Super accumulation and pre-retirement pension phase	Super allocated pension phase
			After age 60
Salary/pension income	Marginal tax rate **(max 45% + medicare)**	n/a	**Tax free**
Super contributions (SGC, salary sacrifice)	n/a	**15%**	n/a
Investment income	Marginal tax rate **(max 45% + medicare)**	Maximum 15%	**Tax free***
Capital gains	**Marginal tax rate** (50% discount if held for more than 12 months)	**10%** (15% if asset held less than 12 months)	**Tax free***

Superannuation Contribution Limits

Table 1- Concessional contribution limits

Concessional contributions include employer and self-employed contributions such as salary sacrifice, superannuation guarantee and personal concessional contributions.

Date	Limit (per annum)				
	To Age 49	Age 50-59	Age 60-65	Age 65-74*	Age75 and over
From 1 July 2012	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only
From 1 July 2013	$25,000	**$25,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2014	$30,000	**$35,000**	**$35,000**	**$35,000**	SGC only
From 1 July 2017	$25,000	**$25,000**	**$25,000**	**$25,000**	SGC only

*Must be employed at least 40 hours during any consecutive 30-day period in the financial year you would like to make the contributions.

Concessional Contributions were previously known as Deductible Contributions (e.g. Salary Sacrifice).

Table 2 - Non-concessional contribution limits

Date	Limit on after-tax contributions	Eligibility Requirements		
		Under age 65	Age 65 to 74	Age 75 and over
From 1 July 2007	$150,000 p.a.	May bring forward two years of contributions to make a $450,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2014	$180,000 p.a.	May bring forward two years of contributions to make a $540,000 contribution in one financial year	Must be employed	Cannot contribute
From 1 July 2017	$100,000 p.a.	May bring forward two years of contributions to make a $300,000 contribution in one financial year	Must be employed	Cannot contribute

Investment Property

- Michael and Jeremy, you currently have an investment property located in Sydney valued at approximately $1,000,000 with an associated debt of approximately $290,000.
- You purchased this property in 2004/05 for approximately $600,000.
- You are currently making Principal and Interest repayments on a Fixed Rate of 3.19% p.a. The Fixed Rate expires in 2022.
- Aside from the interest expense, the main additional expense is the $3,000 per quarter body corporate fee.
- The property provides a rental income of $820 per week.
- It is noted that, based on the following approximate annual income and expenses, the property is positively geared:

	Rental Income	$44,200
Less	Interest Expense	$ 9,251
Less	Body Corporate Fees	$12,000
Less	Est. Other Expenses	$ 5,600
	TAXABLE INCOME	**$17,349**

- You seek advice with respect to retaining or selling this property.

Recommendation:

- Michael and Jeremy, in light of the fact that you are finding the property costly to run (e.g. body corporate fees of $12,000 p.a.) and it does not appear to be appreciating greatly in value (historical capital growth rate of approximately 3.50% p.a.), we suggest that you:
  a) Sell your investment property*
  b) Use the surplus funds (after repayment of the investment property loan) to reduce/offset the non-deductible debt against your residential property
  c) Consider further options in terms of additional investments

** It is noted that the current loan against the investment property is on a fixed rate until 2022. We do not suggest selling the property until closer to (or at) the time of the fixed rate expiring.*

Deductible v Non-Deductible Debt

- Michael and Jeremy, you currently have the following properties and associated debt:

Asset	Approximate Value	Type	Current Debt	Deductible	Rate (pa)	Interest Cost (pa)
Port Melbourne Property	$1,700,000	Residential	$1,400,000	No	3.19%	$44,660
Sydney Property	$1,000,000	Investment	$290,000	Yes	3.19%	$9,251
TOTAL	**$2,700,000**		**$1,690,000**			**$53,911**

'Real Cost' of Interest

Michael, on a salary of $105,000 including super (i.e. $95,890 + super) you are currently incurring tax of approximately $23,991. This equates to 25% of your salary.

Jeremy, on a salary of $240,000 including super (i.e. $219,178 + super) you are currently incurring tax of approximately $76,111. This equates to 35% of your salary.

Non-deductible interest

Therefore, **the real cost of the interest on your non-deductible debt is estimated to be $64,127 p.a.** In other words, you need to earn $64,127 (combined) to achieve net $44,660 (after tax) in order to meet your non-deductible interest obligations. This is calculated as follows:

	Share of interest cost	Pre-tax income required to meet interest cost
Michael	$22,330	$29,773
Jeremy	$22,330	$34,354
REAL COST OF ANNUAL INTEREST		**$64,127**

Deductible interest

The $9,251 p.a. interest cost on your investment loan is tax deductible. Claiming this as a deduction reduces your tax by an estimated $6,843 p.a. Therefore, **the real cost of the interest on your deductible debt is estimated to be $6,476 p.a.** ($9,251 - $2,775).

	Share of interest cost	Reduction in tax payable	Cost of interest after tax benefit
Michael	$4,625.50	$1,156	$3,469.50
Jeremy	$4,625.50	$1,619	$3,006.50
REDUCTION IN TAX PAYABLE		**$2,775**	
REAL COST OF ANNUAL INTEREST			**$6,476**

In summary, the 'real' cost of your interest under the current structure is as follows:

Asset	Approximate Value	Type	Current Debt	Deductible	Rate (pa)	'Real' Interest Cost (pa)
Port Melbourne Property	$1,700,000	Residential	$1,400,000	No	3.19%	$64,127
Sydney Property	$1,000,000	Investment	$290,000	Yes	3.19%	$6,476
TOTAL	**$2,700,000**		**$1,690,000**			**$70,603**

- By selling your Sydney property, you will have the capability of reducing your non-deductible debt by approximately $285,000 (before Capital Gains Tax).
- Interest on borrowings for any future investments will then be tax deductible.

Capital Gains Tax

- A high-level overview of the potential Capital Gains Tax applicable upon sale of the Sydney property is detailed as follows:

Sale price (assuming a 3.5%p.a. capital increase over the next two years)	$1,071,225
Less: Purchase Price	$600,000
Capital Gain	**$471,225**
Less: 50% discount	$235,612
Assessable Gain	**$235,612**
50% ($117,806) added to Michael's taxable income	Tax on assessable gain = $49,600
50% ($117,806) added to Jeremy's taxable income	Tax on assessable gain = $55,369
Tax on Assessable Gain	**$104,969**

Capital Gains and Ownership Structures

The following table demonstrates the Capital Gains Tax payable under different ownership structures, using the purchase of a $600,000 investment property as an example (i.e. the investment property is sold at the end of the period and any capital gain is realised):

Ownership	Purchase Price	Sale Price	Gain	Calculation of Assessable Gain	Assessable Gain	Tax Paid
Pty Ltd Company	$600,000	$1,200,000	$600,000	100%	$600,000	**$180,000**
Own Name	$600,000	$1,200,000	$600,000	50%	$300,000	**$114,097***
Trust	$600,000	$1,200,000	$600,000	50%	$300,000	**$114,097***
SMSF – Accumulation Phase	$600,000	$1,200,000	$600,000	2/3rds of 15%	$60,000	**$60,000**
SMSF – Pension Phase	$600,000	$1,200,000	$600,000	0%	$0	**$0**

* Assumes no other taxable income in the financial year that the property is sold.

Superannuation Funds - Michael

Michael and Jeremy, you currently have the following approximate superannuation balances:

Michael

- Qantas Super $ 38,088

Jeremy

- MLC Masterkey Super Fundamentals $ 69,984

TOTAL **$108,072**

Recommendations:

- You effectively have two options in terms of how your existing superannuation monies are structured:
  - Continue to hold these monies in your existing Qantas Super and MLC Super funds.
  - Roll across these superannuation monies to a more actively managed wholesale 'master trust' superannuation accumulation platform.
- At this stage, we have not considered the option of a Self-Managed Superannuation Fund (SMSF), as your combined superannuation balance is not yet at a level where a SMSF would be viable.

Investments Within Superannuation

Qantas Super – Account Number 620198 (Michael)

Michael, you have a superannuation fund with Qantas Super invested in the 'Glidepath Take-Off' option.

Glidepath is an investment option that adjusts your growth and risk profile over time. When you're younger, and further away from retirement, Glidepath exposes you to higher risk, growth assets and less low risk, defensive assets. When you're older, Glidepath exposes you to more defensive assets and less growth assets.

There are four stages where you are automatically invested in a stage depending on your year of birth.

The asset allocation of the Qantas Super Glidepath Take-Off option is:

Asset Class	% of Portfolio
Equities	70%
Growth Alternatives	20%
Defensive Alternatives	8%
Fixed Interest	0%
Cash	2%
	100%

Current Qantas Super Portfolio Profile Compared to 'Growth' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Growth Portfolio	Deviation
Australian Shares International Shares	70%	43% 25%	+2%
Growth Alternatives	20%	0%	+20%
Property	0%	17%	-17%
Defensive Alternatives	8%	0%	+8%
Fixed Interest	0%	13%	-13%
Cash	2%	2%	0%

Qantas Super 'Glidepath Take-Off 'Option Historical Performance at 30/06/19 ^

	1 year	3 years (p.a.)	5 years (p.a.)
Qantas Super Glidepath Take-Off option	8.30%	10.40%	N/A*

^ Qantas Super only publish 12 months returns as at 30 June each year, whereas 'master trust' superannuation platforms update their rolling 12 month returns each month.

* As Glidepath was established on 1 October 2015, only three years' returns are available.

MLC Masterkey Super Fundamentals – Account Number 004419056 (Jeremy)

Jeremy, you have a superannuation fund with MLC Masterkey Super invested in the 'Horizon 6 – Share Portfolio' option.

The asset allocation of the MLC Masterkey Fundamentals Horizon 6 – Share Portfolio option is:

Asset Class	% of Portfolio
Australian Shares	39.30%
International Shares	37.80%
Property	1.50%
Cash	0.50%
Other	20.90%
	100%

Current MLC Masterkey Super Portfolio Profile Compared to 'Balanced' Benchmark

Asset Class	Current Portfolio	Benchmark Profile for Balanced Portfolio	Deviation
Australian Shares	39.30%	34%	**+5.30%**
International Shares	37.80%	20%	**+17.80%**
Property	1.50%	14%	**-12.50%**
Fixed Interest	0%	26%	**-26.00%**
Cash	0.50%	6%	**-5.50%**
Other	20.90%	0%	**+20.90%**

MLC Masterkey Horizon 6 – Share Portfolio Option Historical Performance at 31/05/20

	1 year	3 years (p.a.)	5 years (p.a.)
MLC Masterkey Horizon 6 – Share Portfolio option	-1.50%	5.00%	5.40%

Option 1 (Michael) – Maintain Existing Qantas Super Fund and move to the 'Growth' option

Invest your total balance within your existing Qantas Super fund. Your $38,088 will be invested in as close to a 'Growth' portfolio as possible.

The asset allocation of the Qantas Super Growth option is:

Asset Class	% of Portfolio
Equities	55%
Growth Alternatives	15%
Defensive Alternatives	10%
Fixed Interest	18%
Cash	2%
	100%

Qantas Super 'Growth 'Option Historical Performance at 30/06/19 ^

	1 year	3 years (p.a.)	5 years (p.a.)
Qantas Super Glidepath Take-Off option	7.60%	9.00%	7.00%

^ Qantas Super only publish 12 months returns as at 30 June each year, whereas 'master trust' superannuation platforms update their rolling 12 month returns each month.

Downside:

- The investment options available are very limited
- You will not be invested directly in line with your Investor Risk Profile
- The historical average performance associated with your existing Qantas Super fund is lower than alternative options.

Option 1 (Jeremy) – Maintain Existing MLC Super Fund and moving to the 'MLC Horizon 4 Balanced' option

Invest your total balance within your existing Rest Super fund. Your $69,984 will be invested in as close to a 'Balanced' portfolio as possible.

The asset allocation of the MLC Horizon 4 Balanced option is:

Asset Class	% of Portfolio
Australian Shares	28%
International Shares	22%
Property	4%
Fixed Interest	26%
Cash	1%
Other	20%
	100%

MLC Masterkey Horizon 4 – Balanced Option Historical Performance at 31/05/20

	1 year	3 years (p.a.)	5 years (p.a.)
MLC Masterkey Horizon 6 – Share Portfolio option	-0.90%	4.00%	4.30%

Downside:

- The investment options available are very limited
- You will not be invested directly in line with your Investor Risk Profile
- The historical average performance associated with your existing MLC Super fund is lower than alternative options.

Option 2 – Master Trust Platforms (Colonial First State)

Your respective investments in the Colonial First State platform would have a specifically modelled portfolio directly in line with your 'Growth' and 'Balanced' Investor Risk Profiles respectively. The specific underlying funds that make up your individual portfolios would be:

Michael

Colonial First State Wholesale Personal Super – 'Growth' portfolio

	% of portfolio
Pendal Wholesale Australia Share	14%
CFS Wholesale Aust. Small Companies	15%
Colonial First State Wholesale Index Australian Share	14%
Colonial First State Wholesale Index Global Share	25%
Pendal Wholesale Property Investment (BT)	11%
Colonial First State Wholesale Index Property Security	6%
Colonial First State Wholesale Index Australian Bond	13%
CFS Wholesale Cash Fund (Strategic Cash)	2%
	100.00%

Performance of the alternative Colonial First State Growth Portfolio at 30/06/2019

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Pendal Wholesale Australia Share	14%	1.19%	1.77%	1.31%
CFS Wholesale Aust. Small Companies	15%	1.05%	1.82%	1.88%
Colonial First State Wholesale Index Australian Share	14%	1.59%	1.73%	1.23%
Colonial First State Wholesale Index Global Share	25%	2.66%	3.10%	2.94%
Pendal Wholesale Property Investment (BT)	11%	2.21%	0.89%	1.35%
Colonial First State Wholesale Index Property Security	6%	1.01%	0.43%	0.72%
Colonial First State Wholesale Index Australian Bond	13%	1.03%	0.42%	0.52%
CFS Wholesale Cash Fund (Strategic Cash)	2%	0.03%	0.03%	0.04%
	100.00%	**10.78%**	**10.18%**	**9.97%**

Jeremy

Colonial First State Wholesale Personal Super – 'Balanced' portfolio

	% of portfolio
Pendal Wholesale Australia Share	10%
CFS Wholesale Aust. Small Companies	14%
Colonial First State Wholesale Index Australian Share	10%
Colonial First State Wholesale Index Global Share	20%
Pendal Wholesale Property Investment (BT)	9%
Colonial First State Wholesale Index Property Security	5%
Colonial First State Wholesale Index Australian Bond	26%
CFS Wholesale Cash Fund (Strategic Cash)	6%
	100.00%

Performance of the alternative Colonial First State Balanced Portfolio at 31/05/2020

	% of portfolio	1 year	3 years p.a.	5 years p.a.
Pendal Wholesale Australia Share	14%	-0.37%	0.54%	0.51%
CFS Wholesale Aust. Small Companies	15%	1.02%	1.61%	1.36%
Colonial First State Wholesale Index Australian Share	14%	-0.48%	0.48%	0.48%
Colonial First State Wholesale Index Global Share	25%	2.17%	1.83%	1.63%
Pendal Wholesale Property Investment (BT)	11%	-0.96%	0.24%	0.42%
Colonial First State Wholesale Index Property Security	6%	-0.74%	0.03%	0.17%
Colonial First State Wholesale Index Australian Bond	13%	0.99%	1.05%	0.91%
CFS Wholesale Cash Fund (Strategic Cash)	2%	0.05%	0.08%	0.09%
	100.00%	**1.68%**	**5.86%**	**5.56%**

Benefits:

- The alternative portfolios have outperformed your current funds.
- A sector specific asset allocation strategy takes advantage of expert fund managers who specialise in that single sector.
- You will have access to a wide range of investment options which cannot be accessed in your current funds.
- The alternative wholesale fund platform has a wide range of investment options with access to more than one specialist manager within each asset class.
- The alternative wholesale fund platform allows for ongoing monitoring and management of the fund's performance and asset allocation.
- You would continue to receive ongoing advice from us as your financial adviser as we will have full access to information relating to the recommended superannuation fund. This will enable us to provide thorough and timely advice to you.

Replacement of an Existing Product

Michael

Type of Fee or Cost	Qantas Supe Glidepath Take-Off Option	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	Admin. Fee 0.23% p.a. + $98 p.a. APRA Fee 0.01% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.11% p.a.	0.70% p.a.
Annual average cost - Total $38,088 investment	**$612 p.a.**	**$495 p.a.**

Jeremy

Type of Fee or Cost	MLC Masterkey Horizon 6 Share Option	Colonial Wholesale Super Fund
Contribution/Entry fee – this is the fee for initial and subsequent contributions.	Nil	Nil
Withdrawal/Exit Fee – this is the fee for each withdrawal you make	Nil	Nil
Switching Fee – fee charged for switching between investment options in the super fund.	Nil	Nil
Administration Costs – are the fees and costs that cover the operation of the fund. They include admin, member and other fees charged by the product issuer	0.30% p.a.	Nil
Adviser Service Fee – additional fee paid to financial adviser	Nil	0.60% p.a.
Investment Costs – are the fees and costs the product issuer charge for investing the assets. These include fees paid to external fund mgrs.	1.23% p.a.	0.70% p.a.
Annual average cost - Total $69,984 investment	**$1,071 p.a.**	**$910 p.a.**

Hansard Europe Retirement Plan

Michael and Jeremy, you currently have a jointly owned Hansard Europe Retirement Programme policy with the following details:

Commencement Date:	28/06/2012
Policy Term:	25 years
Remaining Term:	17 years
Current Policy Value:	**€58,133**
Current 'Surrender' Value:	**€41,314**
Premiums paid to date:	**€67,500**

The policy has monthly premiums of €750 which you have placed on hold until December 2020 and you have advised that you are able to make minimum payments of €100 per month.

You seek advice regarding this Retirement Plan, specifically in terms of whether to retain the policy or withdraw (surrender).

Option 1 - Retain

Benefits:

- You will not forgo the 'initial' and 'bonus' units which are only available upon maturity.

Downside:

- The 'plan' is currently valued at €9,367 less than what you have contributed and can be considered to have underperformed over the past 8 years. There is therefore no guarantee that performance will improve.
- You will be required to pay a maximum of €142,800 and a minimum of €20,400 over the next 17 years to maintain the policy. These funds may be better utilised elsewhere (e.g. additional, tax effective superannuation contributions).

Option 2 – Withdraw (Surrender)

Benefits:

- No further payments will be required.
- The surplus cash flow can be used to assist with other wealth accumulation strategies such as increasing personal superannuation contributions.

Downside:

- You will not forgo the ‘initial’ and ‘bonus’ units which are only available upon maturity. Hence, you will only recoup an estimated €41,314 of your €67,500 paid to date.

Recommendation

- In light of the information detailed on the previous page, we would suggest to either:
    - Withdraw the policy and forgo the ‘initial’ and ‘bonus’ units; or
    - Reduce your premium payments to the minimum €100 per month in the hope that the value recovers to a point where it is at least in line with what you have contributed.

Salary Sacrifice to Superannuation

Michael and Jeremy, based on your current salaries, you are receiving the following gross Superannuation Guarantee (SG) contributions:

Michael - $95,890 @ 9.5% = $9,110 p.a.
Jeremy - $219,178 @ 9.5% = $20,822 p.a.

The concessional superannuation contribution cap is $25,000 per annum.

Consideration:

- Consider making salary sacrifice contributions to superannuation up to the maximum concessional contribution cap each year. Examples of a $15,000 (Michael) and $4,000 (Jeremy) salary sacrifice arrangement and associated tax benefits are outlined on the following page.

Benefits:

- Salary sacrifice contributions are made with pre-tax dollars and therefore you will receive a reduction in taxable income for the contributions that you make.
- Your salary sacrifice contributions will be taxed at a maximum of 15% compared to the 39% (Michael) and 47% (Jeremy) if taken as income.
- **The total tax saving for a full financial year is $5,277.**
- **You have increased your combined NET superannuation contributions by $16,150 p.a. to build a capital base to meet your retirement income goals.**

Risks:

- Superannuation benefits are subject to market returns and earning rates are not guaranteed.

IMPORTANT:
It is important that any salary sacrifice arrangement is clearly documented in writing. You should also confirm with your employer that they are going to continue to pay Superannuation Guarantee Contributions (SGC) on the grossed-up amount of your package, i.e. that the SGC will continue to be calculated on the total of your salary + salary sacrificed amount.

Tax Liabilities and Cash Flow Positions

Current Estimated Tax Liability (Michael)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$95,890			
Rental Income (half share)	$21,320			
Deductions				
Interest on loan (half share)		$4,625		
Other investment property expenses (est. half share)		$8,800		
Current Salary Sacrifice		$0		
TAXABLE INCOME			**$103,875**	
TAX PAYABLE				**$25,931**
Medicare Levy				$2,078
Low-Mid Income Tax Offset				($664)
NET TAX				**$27,345**

Current Estimated Tax Liability (Jeremy)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$219,178			
Rental Income (half share)	$21,320			
Deductions				
Interest on loan (half share)		$4,625		
Other investment property expenses (est. half share)		$8,800		
Current Salary Sacrifice		$0		
TAXABLE INCOME			**$227,073**	
TAX PAYABLE				**$75,280**
Medicare Levy				$4,541
Low-Mid Income Tax Offset				($0)
NET TAX				**$79,821**

Proposed Estimated Tax Liability (Michael - $15,000 salary sacrifice contributions)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$95,890			
Rental Income (half share)	$21,320			
Deductions				
Interest on loan (half share)		$4,625		
Other investment property expenses (est. half share)		$8,800		
Current Salary Sacrifice		$15,000		
TAXABLE INCOME			**$88,785**	
TAX PAYABLE				**$20,402**
Medicare Levy				$1,776
Low-Mid Income Tax Offset				($1,080)
NET TAX				**$21,098**

* Note: the $15,000 superannuation contribution will be subject to contributions tax of 15% ($2,250). Therefore, total tax incurred will be $23,348.

<u>Therefore, the overall tax benefit is anticipated to be $3,997 per annum</u> (i.e. $27,345 - $23,348)

Proposed Estimated Tax Liability (Jeremy - $4,000 salary sacrifice contributions)

Income Source	Amount Received	Deduction	Taxable Income	Tax
Salary	$219,178			
Rental Income (half share)	$21,320			
Deductions				
Interest on loan (half share)		$4,625		
Other investment property expenses (est. half share)		$8,800		
Current Salary Sacrifice		$4,000		
TAXABLE INCOME			**$223,073**	
TAX PAYABLE				**$73,480**
Medicare Levy				$4,461
Low-Mid Income Tax Offset				($0)
NET TAX				**$77,941**

* Note: the $4,000 superannuation contribution will be subject to contributions tax of 15% ($600). Therefore, total tax incurred will be $78,541.

<u>Therefore, the overall tax benefit is anticipated to be $1,280 per annum</u> (i.e. $79,821 - $78,541)

Current Estimated Net Income

	Michael	Jeremy	Total
Income			
Salary	$95,890	$219,178	$315,068
Rental Income	$21,320	$21,320	$42,640
Sub Total	**$117,210**	**$240,498**	**$357,708**
Less Income Tax	$27,345	$79,821	$107,166
Less Interest on inv. property loan	$4,625	$4,625	$9,250
Less inv. Property expenses	$8,800	$8,800	$17,600
Less Current Salary Sacrifice	$0	$0	$0
Net Income	**$76,440**	**$147,252**	**$223,692**

Proposed Estimated Net Income (salary sacrifice contributions of $15,000 and $4,000 respectively)

	Michael	Jeremy	Total
Income			
Salary	$95,890	$219,178	$315,068
Rental Income	$21,320	$21,320	$42,640
Sub Total	**$117,210**	**$240,498**	**$357,708**
Less Income Tax	$21,098	$77,941	$99,039
Less Interest on inv. property loan	$4,625	$4,625	$9,250
Less inv. Property expenses	$8,800	$8,800	$17,600
Less Proposed Salary Sacrifice	$15,000	$4,000	$19,000
Net Income	**$67,687**	**$145,132**	**$212,819**

Investment Structures & Associated Retirement Projections

This section of your Statement of Advice details you projected capital position in retirement based on certain scenarios. The following assumptions have been used in each of the scenarios:

- Capital value of residential property increases by 5.0% p.a.
- Capital value of Sydney investment property increases by 3.5% p.a.
- Capital value of future (replacement) investment increases by 6.0% p.a.
- Residential property loan repayments are $37k p.a.
- Investment property loan repayments are $49k p.a.
- Alternative investment loan repayments are $36k p.a.

Current Position

- Maintain your existing structure and do not change anything.

Scenario 1

- As for 'Current Position' plus:
  - Additional superannuation contributions as detailed within the SoA.

Scenario 2

- Sell investment property in 2022 and use sale proceeds (net of CGT) to reduce debt against residential property.
- Borrow $700,000 to assist with a replacement investment.

Scenario 3

- Sell investment property in 2022 and use sale proceeds (net of CGT) to reduce debt against residential property.
- Borrow $700,000 to assist with a replacement investment.
- Additional superannuation contributions as detailed within the SoA.

Retirement Projections

Under each of these scenarios we have calculated your projected capital position at various stages, taking into consideration the assumptions previously outlined.

A summary of these projections is detailed in the following table:

Scenario		Superannuation Capital	Residential Property	Investment Capital Value (outside super)	Total Outstanding Debt	Total Overall (Net) Capital
Current	Year 15	$851,193	$3,534,178	$1,675,349	$973,408	$5,087,311
	Year 20	$1,282,508	$4,510,606	$1,989,789	$674,359	$7,108,544
	Year 25	$1,859,705	$5,756,803	$2,363,245	$323,672	$9,656,081
1	Year 15	**$1,248,230**	$3,534,178	$1,675,349	$973,408	$5,484,348
	Year 20	**$1,909,989**	$4,510,606	$1,989,789	$674,359	$7,736,025
	Year 25	**$2,795,573**	$5,756,803	$2,363,245	$323,672	$10,591,949
2	Year 15	$851,193	$3,534,178	$1,493,050	$750,359	$5,128,061
	Year 20	$1,282,508	$4,510,606	$1,998,037	$465,463	$7,325,688
	Year 25	$1,859,705	$5,756,803	$2,737,484	$227,342	$10,126,651
3	Year 15	**$1,248,230**	$3,534,178	$1,493,050	$750,359	**$5,525,098**
	Year 20	**$1,909,989**	$4,510,606	$1,998,037	$465,463	**$7,953,170**
	Year 25	**$2,795,573**	$5,756,803	$2,737,484	$227,342	**$11,062,518**

A copy of the calculations used to derive the different outcomes detailed above is contained in the appendix at the rear of this Statement of Advice.

After 20 years, the following income would be generated without eroding any capital, assuming:

- any remaining debt is extinguished
- a conservative **5% p.a. return on remaining superannuation and investment capital**,

Scenario	Net superannuation and investment capital after all debt is extinguished	Income from superannuation/investment capital
Current	$1,923,579	$96,179
1	$2,551,060	$127,553
2	$2,349,619	$117,481
3	$2,977,101	$148,855

After 20 years, the following income would be generated without eroding any capital, assuming:

- any remaining debt is extinguished
- a conservative **7% p.a. return on remaining superannuation and investment capital**,

Scenario	Net superannuation and investment capital after all debt is extinguished	Income from superannuation/investment capital
Current	$1,923,579	$134,651
1	$2,551,060	$178,574
2	$2,349,619	$164,473
3	$2,977,101	$208,397

Personal Insurances

The objective of having insurance cover over your life and your assets is to protect yourself and your family from financial distress in the event of death, illness or accident. Where such an event occurs, there is often considerable emotional distress. Financial planning aims to remove the financial distress at such a time.

There are two ways you can manage this type of risk:

- Self-insurance; or
- Transfer of the risk/insurance to an insurance company.

There are many instances where people effectively elect to self-insure through lack of planning. This means an event occurs which causes financial distress and people manage on what they have set aside. Other ways of self-insuring are by planning and setting aside funds for protection in such an event. The most common form is, however, to recognise the risk and evaluate how much protection is required and then transfer that risk to an insurance company.

Personal Insurance - Review Recommendation

Managing risk is an important part of the financial planning process in order to provide protection against possible future financial loss. Insurance is a simple precaution you can take to protect against the financial consequences of premature death, a medical crisis, total and permanent disablement or temporary disablement.

Existing Cover Amounts

Michael, you currently have the following insurance cover in place under your Qantas super funds

<u>Qantas Super (superannuation owned)</u>

Life Insurance:	$525,000
TPD:	$525,000
Income Protection:	$6,562.50 p.m. (90 day wait / payment period of 2 years)

Jeremy, you currently have the following insurance cover in place via Zurich

<u>Self-Owned</u>

Life Insurance:	$840,000
Income Protection:	$7,126 p.m. (90 day wait / payment period to age 65)

<u>**Michael**, it must be brought to your attention that your insurance cover under this fund will cease should you close the Qantas Super fund. A full analysis of your personal insurance requirements should be undertaken before any decision is made and action taken. Lakeside's Tristan Strange will assist you with this analysis and we will subsequently provide recommendations accordingly.</u>

What is paid to your adviser

Plan Fee

You have agreed to a Plan Fee of $3,300 (including GST), which will be invoiced to you.

Upfront and Ongoing Fee Disclosure

An Adviser Service Fee of 0.60% will apply to any Colonial FirstChoice investments implemented. This is generally paid until the investment is redeemed. The actual amount will vary over time according to the mix of the underlying investments and the total value of your funds under management. The actual amount will be dependent on the investment options implemented.

The agreed Ongoing fee is the way we charge for the ongoing service that we provide. If at any time you wish to discuss this you can do so.

I am an authorised representative of Pareto Group Pty Ltd (ABN 11 155 278 078), which holds an Australian Financial Services Licence (AFSL #418700).

Disclosure Statement

To help you understand the full benefits, details and risks of our recommended products, please read the Product Disclosure Statements that we will provide you.

Please let us know if you have any questions.

Cooling-off periods

After investing in a financial product, you have a “cooling-off” period in which to change your mind if you don’t think the product meets your needs. The cooling-off period usually starts when you’re told the product has been set up. The length of the period varies with each product.

Each Product Disclosure Statement explains your cooling-off rights.

If you wish to cancel a product, please tell us in writing so we can contact the product issuer within the time restrictions.

No guarantee

The investments we recommend for you must be appropriate for you. However, we don’t guarantee they’re the best available or that they’ll perform in a particular way. Product performance depends on the features and risks described in the Product Disclosure Statements given to you.

Please take the time to read the PDS and understand the products we have recommended. If you have any questions, please contact us.

Tax

There will be tax implications if you act on this advice. We recommend you ask a tax professional to assess the impact on your short and long-term financial positions.

Are My Product Recommendations Restricted?

Non-Superannuation Products

Yes, when making non-superannuation product recommendations I can only choose products from our Approved Product List (APL). This list is compiled by a dedicated Investment Committee, made up of Research Manager, Directors and Representatives who carefully analyse investment products, prior to including any product on the APL. The Committee utilises leading industry research houses to assist with their analysis.

The APL is regularly reviewed to ensure that all funds, managers and investment companies continue to meet our ongoing stringent requirements.

Superannuation Products

Yes, when making superannuation product recommendations I can only choose products from our Approved Product List (APL). However, if you have a superannuation product that is not on our APL, I am still able to make recommendations in relation to that fund providing I have conducted the necessary research and have a thorough knowledge of the fund.

What is My Responsibility to You?

I am responsible for providing you a 'clear, concise & an effective' method of communicating my recommendations to you. The recommendations are based on your goals and objectives, personal and financial situations, and other information collected from you. The recommendations are appropriate for your needs and current situation.

As the SoA is specifically prepared for you and based on your situation, I do not take any responsibility for any third-party persons acting on all or on a part of any advice or recommendations made in this SoA.

Do I Guarantee the Investments I have recommended?

No. By law, the investments I have recommended must be appropriate to you, however, I do not guarantee that the recommended investments are the best for you or that they will perform in a certain way.

Your Financial Plan

In preparing this plan we have taken into account your specific goals and objectives, and have designed an appropriate strategy that aims to accomplish these.

It is important to appreciate that we live in an ever-changing world. Accordingly, it is probable that, overtime, the basis of our calculations (inflation rates, investment rates etc) will change, as will your own requirements and expectations. It is therefore recommended you review your plan on a regular basis to ensure you are still on track to achieve investment objectives.

It is essential to have your investment portfolio reviewed to ensure that the investments are working to their maximum potential and any changes to the investment markets, taxation etc. are promptly and correctly responded to.

Next steps

How to get started

To implement our recommendations in this plan, please do the following:

- Make sure you read this Statement of Advice and Product Disclosure Statements (if applicable)
- Contact us if you have any questions
- Tell us immediately if any information is incorrect

Finally

Please note, as with any investments, their future value may fluctuate, particular rates of return cannot be guaranteed and you may not get back what you originally invested. We have provided a brief summary of the managed investment products recommended, however, you will need to study the investment statements of the recommended products carefully before you decide to invest.

Appendix A – Retirement Capital Projections